3.4.3 Capacity

Unit 3.4 Operational management · 6 key points

- **Why capacity matters:** limits how much can be sold; affects unit costs
- **Under-utilisation:** fixed costs spread over fewer units, so unit costs rise
- **Over-utilisation (near 100%):** no room for extra orders, staff and machines stretched, no time for maintenance
- **Ways to raise utilisation:** increase sales, or reduce capacity (rationalisation)
- **Ways to increase capacity:** new equipment, extra shifts, outsourcing
- **Trap:** high utilisation is not always good